

Financial Analysis & Valuation

Methodology Manual

Financial Statements, WACC, DCF & NPV

Executive Summary

This manual is intended to serve as both a reference guide for the accompanying Financial Analysis & Valuation workbook and a practical introduction to the financial statement relationships that support discounted cash flow and net present value analysis. The workbook is organized to move from reported financial statement data to calculated operating profitability, working-capital behavior, cash generation, cost of capital, and ultimately valuation.

Rather than treating financial ratios and valuation formulas as isolated calculations, the workbook emphasizes how each measure is derived from the underlying statements and how one analytical step feeds the next. The analysis begins with the income statement and operating performance, including profitability and related operating metrics, before incorporating balance-sheet relationships through working capital and operating efficiency. These relationships are then connected to the statement of cash flows by reconciling accounting income to cash flow from operations (CFO), free cash flow (FCF), and free cash flow to the firm (FCFF).

The valuation section builds on this foundation by examining risk, required return, and the composition and weighting of debt and equity in estimating the weighted average cost of capital (WACC). These concepts are then brought together through discounted cash flow (DCF) and net present value (NPV) analysis, demonstrating how expected cash flows are evaluated based on their amount, timing, and risk.

The DCF and NPV analysis includes hypothetical capital expenditure projects designed to demonstrate the capital-budgeting process rather than represent announced or actual company investments. Project assumptions are informed by the companies' historical financial performance and characteristics, allowing the analysis to demonstrate how operating assumptions, working-capital requirements, capital investment, FCFF, and cost of capital interact in a forward-looking valuation. The overall objective is to provide a repeatable framework that demonstrates both the general principles of financial analysis and valuation and their practical application within an integrated financial model.

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Section I — Financial Statement Analysis

The Financial Analysis worksheet is designed to show how a company's reported income statement, balance sheet, and statement of cash flows connect. The worksheet begins with operating profitability, moves through the items that reconcile operating income to net income, evaluates working capital and operating efficiency, and then converts accounting earnings into cash-flow measures used in valuation.

The analysis uses historical periods side-by-side so that changes in profitability, efficiency, and cash generation can be evaluated over time rather than from a single year in isolation.

1.) Income Statement — Operating Performance

The first block of the worksheet reconstructs the company's core operating profitability before considering financing costs, taxes, or nonoperating items. This creates a clean operating waterfall from revenue through EBIT.

Revenue

Revenue represents the value of goods or services recognized during the reporting period and serves as the starting point for the operating analysis. Because most profitability measures are expressed relative to revenue, it also provides the denominator for the margin calculations used later in the worksheet.

Cost of Goods Sold (COGS) and Gross Profit

COGS represents the direct costs associated with producing or delivering the goods and services sold during the period. Subtracting COGS from revenue produces gross profit, which measures the amount remaining to cover operating expenses and generate profit.

$$\text{Gross Profit} = \text{Revenue} - \text{COGS}$$

Selling, General & Administrative Expense (SG&A) and EBITDA

SG&A includes operating expenses that support the business but are not classified as direct production costs. In the worksheet, SG&A is deducted from gross profit to arrive at EBITDA, or operating income before depreciation and amortization.

$$\text{EBITDA} = \text{Gross Profit} - \text{SG\&A}$$

Earnings Before Interest, Taxes, Depreciation & Amortization (EBITDA), isolates operating profitability before the noncash allocation of depreciation and amortization. It is useful for comparing the operating performance of the business before differences in capital intensity, financing structure, and taxes are considered.

Depreciation & Amortization and EBIT

Depreciation and amortization allocate the historical cost of long-lived tangible and intangible assets across the periods in which those assets are used. Although D&A reduces accounting income, it is not a current-period cash outflow.

$$\text{EBIT} = \text{EBITDA} - \text{Depreciation \& Amortization}$$

Earnings Before Interest and Taxes (EBIT), also referred to in the workbook as operating income after D&A, represents operating profit after recognizing the economic cost of using long-lived assets but before interest expense and taxes.

2.) Net Operating Profit After Tax (NOPAT)

Net Operating Profit After Tax (NOPAT), converts EBIT into an after-tax measure of operating profitability while continuing to exclude financing decisions. It estimates the profit generated by the company's operations after taxes as though the business were financed independently of debt and equity structure.

$$\text{NOPAT} = \text{EBIT} \times (1 - \text{Effective Tax Rate})$$

The worksheet applies the effective tax rate to EBIT rather than subtracting reported income tax expense directly. This is important because reported taxes are calculated on pretax income, which includes interest and other nonoperating items. NOPAT is intended to remain an operating measure.

NOPAT later becomes the starting point for unlevered free cash flow because both measures are designed to evaluate the operating business before payments to debt and equity capital providers.

3.) Net Income Waterfall

The second income statement block begins with EBIT and reconciles operating profit to the earnings ultimately reported as net income. Unlike NOPAT, this portion of the worksheet incorporates financing costs, nonoperating activity, special items, taxes, minority interests, and discontinued operations.

$$\text{EBIT} - \text{Interest Expense} \pm \text{Nonoperating Income} \pm \text{Special Items} = \text{Pretax Income}$$

Interest expense reflects the cost of debt financing and therefore appears below operating income. Nonoperating income or expense captures activity that is not part of the company's core operations, while special items reflect unusual or nonrecurring charges and gains when reported separately.

$$\text{Pretax Income} - \text{Income Taxes} = \text{Income Before Extraordinary Items}$$

Income before extraordinary items represents earnings after taxes but before the remaining adjustments included in the worksheet. Minority interest and discontinued operations are then incorporated to reconcile the statement to reported net income.

$$\text{Income Before Extraordinary Items} - \text{Minority Interest} \pm \text{Discontinued Operations} = \text{Net Income}$$

The distinction between NOPAT and net income is fundamental to the workbook. NOPAT measures after-tax operating profit before financing effects, while net income measures accounting earnings after financing and other below-the-line items. For this reason, NOPAT is used in FCFF calculations, whereas net income is used in shareholder-oriented profitability measures such as net profit margin and return on assets.

4.) Income Statement Metrics

The income statement metrics section converts the operating and earnings figures above into standardized measures that make profitability easier to compare across periods. Each margin expresses a different stage of the income statement as a percentage of revenue.

Gross Profit Margin

$$\text{Gross Profit Margin} = \text{Gross Profit} \div \text{Revenue}$$

Measures the percentage of revenue remaining after direct production or service costs. A higher margin generally indicates stronger pricing, lower direct costs, or a more favorable product mix.

Operating Margin Before D&A (EBITDA Margin)

$$\text{EBITDA Margin} = \text{EBITDA} \div \text{Revenue}$$

Measures operating profitability before depreciation and amortization. It focuses on the earnings generated by the company's current operations before the noncash cost of long-lived assets.

Operating Margin After D&A (EBIT Margin)

$$\text{EBIT Margin} = \text{EBIT} \div \text{Revenue}$$

Measures operating profit after depreciation and amortization. It therefore reflects both operating expense control and the accounting cost associated with the company's asset base.

NOPAT Margin

$$\text{NOPAT Margin} = \text{NOPAT} \div \text{Revenue}$$

Measures after-tax operating profitability as a percentage of revenue while excluding financing effects. It shows how much after-tax operating profit the company generates from each dollar of revenue and links operating performance directly to the NOPAT used in unlevered free cash flow.

Pretax Margin

$$\text{Pretax Margin} = \text{Pretax Income} \div \text{Revenue}$$

Measures the percentage of revenue remaining after operating and financing expenses but before income taxes.

Net Profit Margin

$$\text{Net Profit Margin} = \text{Net Income} \div \text{Revenue}$$

Measures the percentage of revenue ultimately retained as net income after operating expenses, financing costs, taxes, and other reported items.

Effective Tax Rate

$$\text{Effective Tax Rate} = \text{Income Tax Expense} \div \text{Pretax Income}$$

Measures the tax expense recognized relative to pretax accounting income. The worksheet also uses this rate as the tax assumption when converting EBIT to NOPAT.

Interest Coverage Ratio

$$\text{Interest Coverage Ratio} = \text{EBIT} \div \text{Interest Expense}$$

Measures the company's ability to cover interest expense using operating income. Higher coverage indicates a larger operating earnings cushion relative to debt-service costs.

5.) Balance Sheet — Working Capital

The balance-sheet portion of the worksheet focuses only on the operating working-capital accounts required for cash-flow analysis: accounts receivable, inventory, and accounts payable. These accounts represent cash that has either been committed to operations or temporarily financed through suppliers.

Accounts Receivable

Accounts receivable represents revenue that has been recognized but not yet collected in cash. An increase in A/R generally uses cash because more sales remain uncollected, while a decrease generally releases cash as prior receivables are collected.

$$\text{Cash Effect of A/R} = \text{Prior A/R} - \text{Current A/R}$$

Inventory

Inventory represents goods held for production or sale. An increase in inventory generally uses cash because the company has purchased or produced more inventory than it has sold, while a decrease generally releases cash.

$$\text{Cash Effect of Inventory} = \text{Prior Inventory} - \text{Current Inventory}$$

Accounts Payable

Accounts payable represents amounts owed to suppliers. Unlike A/R and inventory, an increase in A/P generally provides cash because the company has delayed payment to suppliers, while a decrease generally uses cash as obligations are paid.

$$\text{Cash Effect of A/P} = \text{Current A/P} - \text{Prior A/P}$$

Net Working Capital and Change in NWC

$$\text{NWC} = \text{Accounts Receivable} + \text{Inventory} - \text{Accounts Payable}$$

The NWC balance shows the net amount of operating capital tied up in these selected working-capital accounts. A negative balance can occur when supplier financing through accounts payable exceeds the combined investment in receivables and inventory.

$$\Delta \text{NWC} = \text{Current-Year NWC} - \text{Prior-Year NWC}$$

The change in NWC, rather than the absolute balance, is the amount used in the FCFF calculation. An increase in NWC represents additional cash invested in operations and reduces free cash flow. A decrease in NWC releases cash and increases free cash flow.

6.) Balance Sheet Averages

Turnover and return ratios compare income-statement activity measured across an entire year with balance-sheet balances measured at specific dates. The worksheet therefore uses average balance-sheet balances to better align the periods being compared.

$$\text{Average Balance} = (\text{Beginning Balance} + \text{Ending Balance}) \div 2$$

The worksheet calculates average accounts receivable, average inventory, average accounts payable, and average total assets. Because a prior-year balance is required, these averages begin with the second historical year shown in the analysis.

7.) Working Capital & Balance Sheet Metrics

The working-capital metrics convert the balance-sheet balances into measures of operating efficiency. Turnover ratios measure how many times an account cycles during the year, while the related day-based measures translate those ratios into the approximate number of days cash remains tied up in the operating cycle.

A/R Turnover

$$\text{A/R Turnover} = \text{Revenue} \div \text{Average A/R}$$

Measures how many times the company generates and collects an average receivables balance during the year.

Days Sales Outstanding (DSO)

$$\text{DSO} = 365 \div \text{A/R Turnover}$$

Estimates the average number of days required to collect customer receivables. Lower DSO generally indicates faster collection.

Inventory Turnover

$$\text{Inventory Turnover} = \text{COGS} \div \text{Average Inventory}$$

Measures how many times the company sells or uses its average inventory balance during the year.

Days Inventory Outstanding (DIO)

$$\text{DIO} = 365 \div \text{Inventory Turnover}$$

Estimates the average number of days inventory remains on hand before being sold or used.

A/P Turnover

$$\text{A/P Turnover} = \text{COGS} \div \text{Average A/P}$$

Measures how many times the company pays an average accounts-payable balance during the year.

Days Payable Outstanding (DPO)

$$\text{DPO} = 365 \div \text{A/P Turnover}$$

Estimates the average number of days the company takes to pay suppliers. Higher DPO can provide a source of operating financing, although unusually high values may also reflect payment pressure.

Cash Conversion Cycle (CCC)

$$\text{CCC} = \text{DSO} + \text{DIO} - \text{DPO}$$

Estimates the number of days cash is committed to the operating cycle after considering customer collections, inventory holding periods, and supplier payment terms. A negative CCC indicates that supplier financing exceeds the time cash is tied up in receivables and inventory.

Total Asset Turnover

$$\text{Total Asset Turnover} = \text{Revenue} \div \text{Average Total Assets}$$

Measures how efficiently the company uses its asset base to generate revenue.

Return on Assets (ROA)

$$\text{ROA} = \text{Net Income} \div \text{Average Total Assets}$$

Measures the amount of net income generated relative to the company's average asset base.

ROA Relationship

$$\text{ROA} \approx \text{Net Profit Margin} \times \text{Total Asset Turnover}$$

Shows that return on assets can be viewed as the combination of profitability on each dollar of sales and the efficiency with which the asset base generates those sales.

NWC Margin

$$\text{NWC Margin} = \text{NWC} \div \text{Revenue}$$

Expresses the selected operating working-capital investment relative to revenue. It provides a simple way to compare working-capital intensity across periods.

8.) Statement of Cash Flows — Operating Cash Flow

The statement-of-cash-flows block uses the indirect method to reconcile accounting income to the cash generated by operating activities. The analysis begins with income before extraordinary items and then adjusts for noncash expenses, nonoperating gains or losses, and changes in operating assets and liabilities.

The worksheet includes the specific adjustment lines reported in the source financial statements, including depreciation and amortization, extraordinary or discontinued items, deferred taxes, equity earnings or losses, gains or losses on property and investments, other funds-from-operations adjustments, accounts receivable, inventory, accounts payable and accrued liabilities, accrued income taxes, and other operating assets and liabilities.

$$\text{Accounting Income} + \text{Noncash Adjustments} \pm \text{Operating Asset/Liability Changes} = \text{CFO}$$

The central purpose of this section is to demonstrate that accounting profit and operating cash flow are not the same measure. Revenue and expenses may be recognized before or after cash changes hands, and certain accounting expenses such as depreciation do not require a current cash payment. CFO reconciles these timing and noncash differences to show the cash generated by the company's operating activities.

9.) Free Cash Flow

The first free-cash-flow measure in the worksheet begins with reported cash flow from operating activities and subtracts capital expenditures. Capital expenditures represent cash invested in property, equipment, and other long-lived operating assets needed to maintain or expand the business.

$$\text{Free Cash Flow} = \text{CFO} - \text{Capital Expenditures}$$

This measure shows the cash remaining after the company funds its operating activities and reinvests in long-term assets. Because it begins with reported CFO, it reflects the accounting and working-capital adjustments embedded in the company's published statement of cash flows.

The workbook keeps this reported FCF measure separate from unlevered free cash flow because the two are constructed for different analytical purposes. Reported FCF is useful for understanding cash generation from the company's cash-flow statement, while FCFF is structured specifically for enterprise valuation.

10.) Unlevered Free Cash Flow (FCFF)

Unlevered free cash flow, also referred to as free cash flow to the firm (FCFF), measures the cash generated by the company's operations before payments to debt and equity capital providers. It is designed to evaluate the operating business independently of the way that business is financed.

$$\text{FCFF} = \text{NOPAT} + \text{D\&A} - \text{Capital Expenditures} - \Delta \text{NWC}$$

NOPAT

NOPAT provides after-tax operating income before interest expense. Using NOPAT prevents debt financing costs from being included in operating cash flow and keeps FCFF independent of capital structure.

Add Back Depreciation & Amortization

D&A reduced EBIT and therefore NOPAT, but it does not represent a current cash outflow. It is added back to convert accounting operating profit toward a cash-flow basis.

Subtract Capital Expenditures

CapEx represents actual cash reinvestment in long-lived operating assets. Although depreciation is added back because it is noncash, the cash spent on new or replacement assets must be deducted.

Subtract Change in Net Working Capital

An increase in NWC requires additional cash to support operations and therefore reduces FCFF. A decrease in NWC releases previously invested operating cash and therefore increases FCFF. This is why a negative ΔNWC becomes a positive contribution to FCFF when the formula subtracts the change.

FCFF is the key bridge between the historical financial analysis and the DCF section of the workbook. Because FCFF represents cash available to all capital providers before financing payments, it is discounted using the weighted average cost of capital to estimate enterprise value.

Section II — DCF & NPV Analysis

The DCF and NPV portion of the workbook extends the historical financial analysis into valuation. The central idea is that cash received in the future is worth less than cash received today, and that the appropriate discount rate must reflect the return required for the risk of those future cash flows.

The sections below are intentionally limited to the valuation concepts used by the workbook rather than serving as a complete catalog of valuation methods.

11.) Time Value of Money

Time value of money recognizes that a dollar available today can be invested and earn a return, making it more valuable than the same dollar received in the future. Valuation therefore requires future cash flows to be converted into present-value terms.

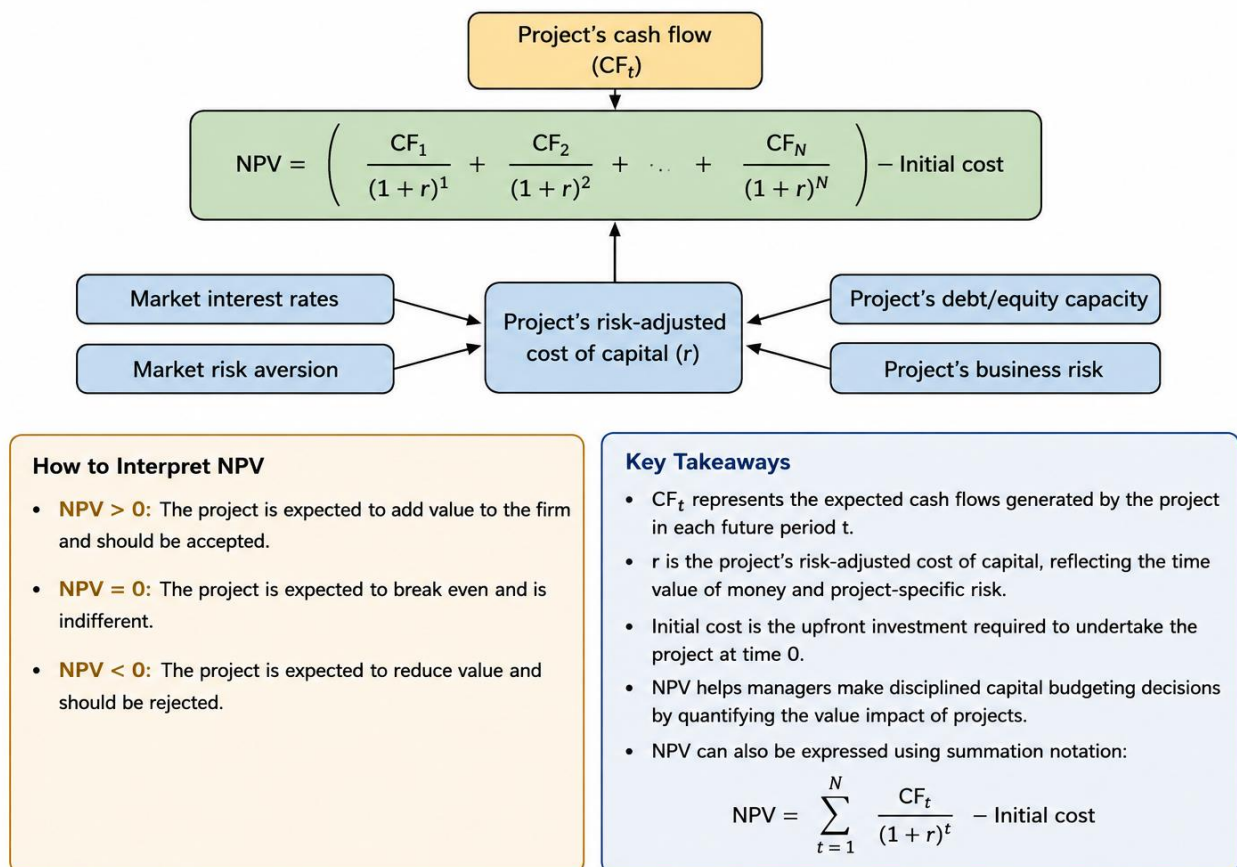
$$\text{Present Value} = \text{Future Value} \div (1 + r)^n$$

$$\text{Future Value} = \text{Present Value} \times (1 + r)^n$$

In these formulas, r represents the required rate of return or discount rate and n represents the number of periods. As either the required return or the time until receipt increases, the present value of a future cash flow decreases.

12.) Net Present Value (NPV)

Net present value compares the present value of expected future cash inflows and outflows with the amount invested today. It measures whether an investment is expected to earn more or less than the required return used as the discount rate.



The NPV framework and the DCF framework use the same underlying discounting principle. NPV is commonly applied to projects or investments with identifiable cash outflows and inflows, while a company DCF applies the same mathematics to forecast free cash flow and terminal value.

13.) Required Return & CAPM

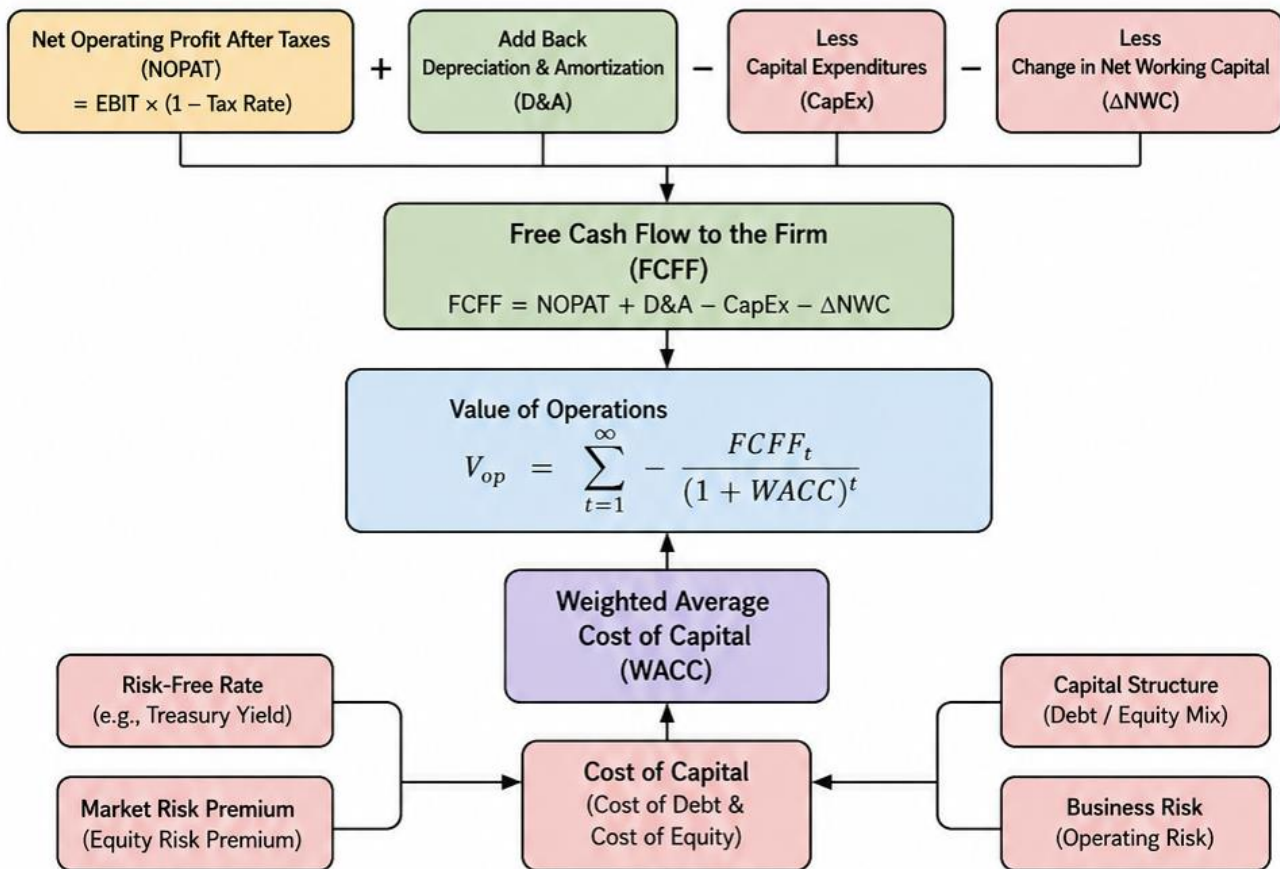
The required return represents the minimum return an investor would demand for accepting the risk of an investment. For equity, the workbook can estimate this required return using the Capital Asset Pricing Model (CAPM).

$$\text{Cost of Equity} = \text{Risk-Free Rate} + \text{Beta} \times (\text{Expected Market Return} - \text{Risk-Free Rate})$$

The risk-free rate represents the return available on an investment considered effectively free of default risk. Beta measures the stock's sensitivity to systematic market risk. The market risk premium represents the additional return investors require for holding the market rather than the risk-free asset. CAPM combines these components into an estimate of the required return on equity.

14.) Cost of Capital & WACC

A company's operating value is based on the cash generated by its operations and the return required by the investors who provide its capital. **Free Cash Flow to the Firm (FCFF)** represents cash available to both debt and equity capital providers and is calculated from NOPAT by adding back noncash depreciation and amortization, then subtracting capital expenditures and changes in net working capital. Because FCFF is measured before distributions to individual capital providers, it is discounted at the **Weighted Average Cost of Capital (WACC)** to determine the present value of the company's operations.



WACC represents the **blended required return of the company's capital providers**, weighted according to the firm's capital structure. Each source of capital has its own required return: debt is based on current market borrowing rates and receives an adjustment for the tax deductibility of interest; preferred stock has its own required return; and the cost of common equity reflects the return required by common shareholders, commonly estimated using CAPM and therefore influenced by the risk-free rate, market risk premium, and the firm's systematic risk. Each required return is multiplied by its respective capital-structure weight and combined to determine the company's overall WACC.

WACC FORMULA AND COMPONENTS

$$\text{WACC} = r_d (1 - T)w_d + r_{std} (1 - T)w_{std} + r_{ps} w_{ps} + r_s w_s$$

$$r_d (1 - T)w_d$$

Cost of Long-Term Debt after tax

- r_d = required return on long-term debt (based on current market borrowing rates / YTM)
- T = marginal tax rate (tax shield on interest)
- w_d = weight of long-term debt (from capital structure)

$$r_{std} (1 - T)w_{std}$$

Cost of Short-Term Debt after tax

- r_{std} = required return on short-term debt (based on current short-term borrowing rates)
- T = marginal tax rate (tax shield on interest)
- w_{std} = weight of short-term debt (from capital structure)

$$r_{ps} w_{ps}$$

Cost of Preferred Stock (before tax)

- r_{ps} = required return on preferred stock
- w_{ps} = weight of preferred stock (from capital structure)

$$r_s w_s$$

Cost of Common Equity (before tax)

- r_s = required return on common equity, driven by:
 - Risk-free rate
 - Market risk premium
 - Business (operating) risk
- w_s = weight of common equity (from capital structure)

Definitions

r_d = Required rate of return on long-term debt (coupon rate on new debt or yield to maturity on existing long-term debt)

T = Marginal corporate tax rate

r_{std} = Required rate of return on short-term debt (e.g., notes payable interest rate)

r_{ps} = Required rate of return on preferred stock

r_s = Required rate of return on common stock

w_d = Weight of long-term debt (based on market value)

w_{std} = Weight of short-term debt (based on market value)

w_{ps} = Weight of preferred stock (based on market value)

w_s = Weight of common equity (based on market value)

All weights satisfy:

$$w_d + w_{std} + w_{ps} + w_s = 1$$

Key Takeaways

- FCFF represents cash flow available to all capital providers before distributions to debt and equity holders.
- WACC is the appropriate discount rate because it reflects the blended required return demanded by all providers of capital.
- Debt costs are after tax due to the interest tax shield, while preferred stock and common equity costs are before tax.

15.) DCF Forecast

A discounted cash flow valuation begins by forecasting the operating performance required to estimate future FCFF. Historical financial statements and operating metrics provide the basis for developing assumptions regarding future revenue, margins, taxes, depreciation and amortization, capital expenditures, and working capital.

Revenue → Operating Profit → NOPAT → FCFF

Forecast assumptions should be internally consistent. For example, revenue growth affects the operating base, margin assumptions determine operating profit, and working-capital and capital-expenditure assumptions determine how much of that operating profit is converted into cash available to capital providers.

16.) Discounted Unlevered Free Cash Flow

Each forecast FCFF amount must be discounted back to present value because cash generated farther in the future is worth less today and carries additional uncertainty.

The present values of the explicit forecast-period cash flows are summed as one component of enterprise value. The remaining value attributable to cash flows beyond the explicit forecast period is captured through terminal value.

17.) Terminal Value

Terminal value estimates the value of the business beyond the explicit forecast period. Because a company is generally assumed to continue operating after the final forecast year, omitting terminal value would ignore cash flows expected to occur after the modeled horizon.

Discounted Unlevered Free Cash Flow (DCF)

Each forecast FCF_F amount must be discounted back to present value because cash generated farther in the future is worth less today and carries additional uncertainty.

Discount Factor	Present Value of FCF_F	Present Value Formula
$\frac{1}{(1+r)^n}$	$PV(FCF_t) = \frac{FCF_t}{(1+r)^t}$	$PV = FV \times \frac{1}{(1+r)^n}$
$r = \text{WACC}$ $n = \text{number of periods}$	$t = \text{period}$	

Definitions

PV = Present Value
 FV = Future Value
 r = Discount Rate (WACC)
 n = Number of Periods

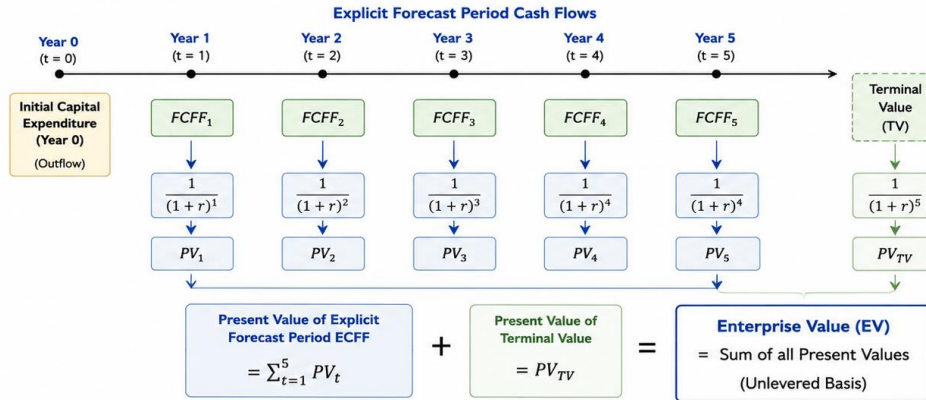
What We Discount

We discount **Unlevered Free Cash Flows (FCFF)** generated during the explicit forecast period.

Cash flows beyond the explicit period are captured in the **Terminal Value**.

Key Takeaway

The discount factor $\frac{1}{(1+r)^n}$ reduces future cash flows to their present value using the required return (WACC) and the number of periods in the future.



Perpetuity Growth Method

$$\text{Terminal Value} = FCFF_{n+1} \div (\text{WACC} - g)$$

The perpetuity-growth approach assumes free cash flow continues growing at a stable long-term rate, g , after the explicit forecast period. The long-term growth assumption should remain economically sustainable and below the discount rate.

Exit Multiple Method

$$\text{Terminal Value} = \text{Final-Year Financial Metric} \times \text{Exit Multiple}$$

The exit-multiple approach estimates terminal value by applying a market valuation multiple to a financial metric such as EBITDA at the end of the forecast period. The terminal value produced by either method must then be discounted back to present value.

18.) Enterprise Value to Equity Value

Discounting FCFF produces the value of the operating enterprise because FCFF is available to both debt and equity capital providers. The present value of the explicit forecast cash flows is therefore combined with the present value of terminal value to estimate enterprise value.

$$\text{Enterprise Value} = \text{PV of Forecast FCFF} + \text{PV of Terminal Value}$$

Enterprise value is then reconciled to equity value by adjusting for claims and nonoperating assets that sit between the operating business and common shareholders.

$$\text{Equity Value} = \text{Enterprise Value} - \text{Debt} + \text{Cash and Other Applicable Adjustments}$$

$$\text{Implied Share Price} = \text{Equity Value} \div \text{Diluted Shares Outstanding}$$

This reconciliation is what converts a valuation of the operating business into a value attributable to common equity holders.

References

Primary Workbook: *Financial-Analysis_Dell-MSFT_V1.xlsx*

Financial Data: Company-specific financial statement data and market inputs should be reconciled to the applicable company filings and original financial data sources for the corresponding reporting period.

Indirect Method — Operating Cash Flow: The operating cash flow section presents the standard indirect-method framework for reconciling accrual-based accounting income to cash flow from operations. Actual financial statements may begin with a different income measure or separately report individual noncash and working-capital adjustments while following the same underlying reconciliation.

Methodology Note: Financial formulas, definitions, and valuation relationships presented throughout this manual represent general financial-analysis and valuation concepts. Company-specific assumptions and hypothetical capital expenditure scenarios contained in the accompanying workbook are used to demonstrate their practical application and should not be interpreted as actual or announced company projects.